Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2023
Question: Material Issues for External Stakeholders
Include Modeled Scores : Yes

Material Issues for External Stakeholders

Question

Does the company conduct a materiality analysis to identify and value the positive/negative impact on external stakeholders associated with its business operations, products/services and/or its supply chain?

Rationale

The purpose of this question is to recognize companies that identify and value the externalized impact generated on societal stakeholder groups and/or the environment as a result of their main business activities. The impact evaluated usually relates to environmental and/or social externalities that can be either positive (external benefits) or negative (external costs), intended or unintended. The impacts generated can be direct or indirect and are usually not internalized as part of the costs associated with the business activity.

While companies have made significant progress in tracking and reporting input and output measures (such as water use and C02 emissions), the external social and environmental impacts resulting from business operations, products, services or supply chain operations are significantly under-reported. Impact valuation helps companies to increase awareness of externalities associated with their business and represents a management tool to orient the company strategy towards sustainable activities, solutions, and sourcing. Investors are also interested in how companies measure and understand their own impacts, and how those companies use that information in their internal decision-making so that it leads to long-term value creation. Over time, external impact on society and the environment also translates into internal impact on a company itself, including its financial value drivers. In a broader understandin

Performance Summary	
Question Level Company Performance	
Question Weight	
Year-on-Year Change	
Industry Average Score	
Industry Highest Score	

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Material issue for external stakeholders: The material significance of an ESG subject in terms of external impact is defined through an analysis of a company's business activities, business model, products, and services. Impacts are evaluated considering the direct and indirect impacts on societal stakeholders and/or the environment, both in the short and longer term. The material issues for external stakeholders and associated impact are usually identified by evaluating the breadth of the impact, looking at the size of the effect on societal stakeholders and the environment, as well as the depth of the impact, looking at the severity and extent of the damage or benefits it causes to societal stakeholders and the environment.

Cause of the impact: This refers to the company's business activity in terms of operations, products/services, or supply chain activities which are responsible for causing the external impact. The coverage associated with the business activity refers to the share of company operations, products/ services, or supply chain considered as part of the impact evaluations.

External stakeholders/ impact areas evaluated: This refers to the type of external stakeholder group or an external area experiencing the impact caused by the company through its business activities. External groups or areas include the environment, society, consumers/end-users, and external employees (supply chain, contractors). It is possible to consider the impact on several areas or groups, e.g., environment and society or, environment, consumers and society, etc. As the question is assessing material issues for external stakeholders, internal stakeholders, such as employees or shareholders, are not acceptable.

Topic relevance on external stakeholders: This explains why the external impact assessed is material for the external stakeholder(s) evaluated, and requires a clear link between the material issue and the relevance to external stakeholders. The description may also refer to the direct or indirect consequences of the impact generated on societal or environmental stakeholders in terms of size, severity, and/or extent of the damage or benefits caused to societal stakeholders and the environment. The type of impact assessed can be positive, negative, or both. The two impacts reported can be both positive or negative but companies are encouraged to assess their external impacts in a combined way in order to measure together the positive and negative impacts.

Data Requirements

Acceptable forms of reporting (non-exhaustive) on material issues with externalized impact include:

- Materiality analysis/ metrics with the integration of external impact aspects.
- Strategic section of a report or website: Reporting on key strategic areas as part of a Sustainability Report or the website, will only be accepted as long as there is a clear reference to the external impact dimension, meaning a detailed explanation of why the issue and associated impact assessed is material to external societal stakeholders or the environment.
- Impact valuation section of a report, website, or a single specific document.

Not acceptable material issues: Please note that companies that do not provide an acceptable material issue for external stakeholders will not receive points on any subsequent aspects of the question. Not acceptable examples include the following:

- Purely economic or financial issues: Tax payments, net income, amortization & depreciation, interests, dividend payments, salaries, own employment, macroeconomic conditions, etc.
- Operational business issues: Market expansion, efficient use of capital, operational excellence, etc.
- Material business issues without providing information on why the issue is relevant to external stakeholders
- Impacts from philanthropic activities, or project-based mandatory environmental and social impact assessments.

Disclosure requirements for partially public question:

All qualitative information required in this question needs to be supported by attached private or public document(s) or a comprehensive company comment. Options that cannot be verified in supporting documents will be unticked.

Additional credit will be granted for relevant publicly available evidence covering the following aspect of the question:

- **Topic relevance on external stakeholders**

References

Natural Capital Protocol

https://naturalcapitalcoalition.org/protocol/
https://naturalcapitalcoalition.org/wp-content/uploads/2016/07/Framework_Book_2016-07-01-2.pdf

Social & Human Capital Protocol

https://capitalscoalition.org/capitals-approach/social-human-capital-protocol/

Social Value UK

https://www.socialvalueuk.org/
https://www.socialvalueuk.org/resource/discussion-document-valuation-social-outcomes/
https://www.socialvalueuk.org/app/uploads/2017/11/Discussion_Paper_on_SVP_NCP-FINAL-VERSION-2-1.pdf

World Business Council For Sustainable Development (WBCSD):

https://www.wbcsd.org/Programs/People-and-Society/Tackling-Inequality/Resources/WBCSD-Measuring-Impact
https://docs.wbcsd.org/2017/05/IVR_Impact_Valuation_White_Paper.pdf

Business for Societal Impact B4SI, (formely London Benchmarking Group LBG):

https://b4si.net/framework/

Social Return on Investment (SROI)

https://www.socialvaluelab.org.uk/wp-content/uploads/2016/09/SROI-a-guide-to-social-return-on-investment.pdf

Impact Reporting & Investment Standards (IRIS)

https://iris.thegiin.org/

Impact Management Project

https://impactmanagementproject.com/

Standards & Frameworks

WEF Metrics - Material issues impacting stakeholders

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Material issue 1: Company's operations are responsible for external impact and the coverage of the business activity that has been considered in the assessment is also reported.	-
Material issue 2: Company's operations are responsible for external impact and the coverage of the business activity that has been considered in the assessment is also reported.	YES
Material issue 1: Company's products/services are responsible for external impact and the coverage of the business activity that has been considered in the assessment is also reported.	YES
Material issue 2: Company's products/services are responsible for external impact and the coverage of the business activity that has been considered in the assessment is also reported.	YES
Material issue 1: Company's supply chain is responsible for external impact and the coverage of the business activity that has been considered in the assessment is also reported.	-
Material issue 2: Company's supply chain is responsible for external impact and the coverage of the business activity that has been considered in the assessment is also reported.	-
Material issue 1: Coverage of the business activity that has been considered in the assessment of impacts on external stakeholders resulting from the company's business operations, products & services provided and/or supply chain.	>50% of business activity
Material issue 2: Coverage of the business activity that has been considered in the assessment of impacts on external stakeholders resulting from the company's business operations, products & services provided and/or supply chain.	>50% of business activity
Material issue 1: Environment as an external stakeholder group or external area experiencing the impact caused by the company through its business activities.	-
Material issue 2: Environment as an external stakeholder group or external area experiencing the impact caused by the company through its business activities.	-
Material issue 1: Description available on materiality of externalized impact on stakeholders assessed.	YES
Material issue 2: Description available on materiality of externalized impact on stakeholders assessed.	YES
Material issue 1: Type of external impact assessed which is material to external societal stakeholders or the environment	Positive
Material issue 2: Type of external impact assessed which is material to external societal stakeholders or the environment	Both Combined
Material issue 1: Description of the external impact assessed which is material to external societal stakeholders or the environment, and the type of impact assessed is publicly reported.	-
Material issue 2: Description of the external impact assessed which is material to external societal stakeholders or the environment, and the type of impact assessed is publicly reported.	-
Company conducts a stakeholders materiality analysis to value and identify the positive/negative impact generated on external stakeholders due to the their business operations, products/services and/or the supply chain	Applicable
Material issue 1: Impact on external stakeholders generated by the material issue and the category of impact.	Customer Relationship Management
Material issue 2: Impact on external stakeholders generated by the material issue and the category of impact.	Product / Service Quality & Safety
Material issue 1: Type of external stakeholder group or external area experiencing the impact caused by the company through its business activities.	-
Material issue 1: Consumer as an external stakeholder group or external area experiencing the impact caused by the company through its business activities.	YES
Material issue 1: Employee as an external stakeholder group or external area experiencing the impact caused by the company through its business activities.	-
Material issue 2: Type of external stakeholder group or external area experiencing the impact caused by the company through its business activities.	-
Material issue 2: Consumer as an external stakeholder group or external area experiencing the impact caused by the company through its business activities.	YES
Material issue 2: Employees as an external stakeholder group or external area experiencing the impact caused by the company through its business activities.	-
Material Issues for External Stakeholders: Name of material issue 1	Consumer experience
Material Issues for External Stakeholders: Name of material issue 2	Product safe and quality

Questionnaire

Has your company conducted a materiality analysis to identify and value the positive/negative impact on external stakeholders associated with your company's business operations, products/services and/or its supply chain? Please indicate two material issues that illustrate the most significant social or, environmental impact on external stakeholder groups (e.g. environment, society, customers, etc.). Note that philanthropic initiatives or project-based Environmental and Social Impact Assessments (ESIA, EIA) are not accepted in this question.

1. ●

Yes, our company conducted an assessment of positive and/or negative impacts on external stakeholders resulting from our business operations, products & services and/or supply chain.

Please provide supporting evidence:

	Impact 1	Impact 2
Material Issue for External Stakeholders Please specify the material issue that generates a positive/negative impact on external stakeholders.	Consumer experience Please select the category your external impact belongs to: Customer Relationship Management	Product safe and quality Please select the category your external impact belongs to: Product / Service Quality & Safety
Cause of the Impact Please specify which part of your business is responsible for the external impact and the coverage of the business activity that has been considered in the assessment.	Business value chain: 1. ☐ Operations 2. ☑ Products/Services 3. ☐ Supply chain Business activity coverage: >50% of business activity	Business value chain: 1. ☑ Operations 2. ☑ Products/Services 3. ☐ Supply chain Business activity coverage: >50% of business activity
External stakeholder(s)/ impact area(s) evaluated Please select the stakeholder(s) group or impact areas evaluated.	1. ☐ Environment 2. ☐ Society	1. ☐ Environment 2. ☐ Society

Topic relevance on external stakeholders Please provide a brief rationale why the external impact assessed is material to external societal stakeholders or the environment. Also indicate the type of impact assessed along with public disclosure, if available.	3. ☑ Consumers/ end-users 4. ☐ External employees (e.g. supply chain, contractors) 1. ☑ Materiality of externalized impact on stakeholders assessed. Type of impact: 1. ● Positive 2. ○ Negative 3. ○ Both combined 2. ☐ Information is publicly available.	3. ☑ Consumers/ end-users 4. ☐ External employees (e.g. supply chain, contractors) 1. ☑ Materiality of externalized impact on stakeholders assessed. Type of impact: 1. ○ Positive 2. ○ Negative 3. ● Both Combined 2. ☐ Information is publicly available.

2. ○ No, we do not assess our impact on external stakeholders.
3. ○ Not applicable. Please provide explanations in the comment box below.
4. ○ Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.